Insurance Premium Review

Insurance Premium Review - Q2 2024

Internal reference code: CNRY-875ec22f.

Overview

As part of our ongoing financial management strategy, we have conducted a comprehensive review of our insurance premiums for Q2 2024. This review aims to ensure we are maintaining optimal coverage while controlling costs. Below are the detailed findings and recommendations.

Current Premiums

Our current insurance premiums, covering both road freight and warehousing operations, total **EUR 1,250,000** for the quarter. This includes:
- **Road Freight Insurance**: EUR 850,000
  - **Comprehensive Coverage**: EUR 680,000
  - **Third-Party Liability**: EUR 170,000
- **Warehousing Insurance**: EUR 400,000
  - **Property Damage**: EUR 300,000
  - **Incipient Loss**: EUR 100,000

Cost Analysis and Recommendations

After analyzing the premiums, we have identified several areas where we can optimize our expenses without compromising on coverage:

1. **Road Freight Insurance**
    - **Comprehensive Coverage**: We propose renegotiating the comprehensive coverage policy with **EuroShield Insurance**. By increasing our annual mileage by 10%, we can reduce the premium by **EUR 60,000** to **EUR 620,000**.
    - **Third-Party Liability**: The current rate with **SafeDrive Assurers** is competitive. However, switching to **Guardian Risk Solutions** could save us **EUR 15,000**, bringing the premium down to **EUR 155,000**.

2. **Warehousing Insurance**
    - **Property Damage**: Our current provider, **SecureStore Insurers**, has offered a 5% discount for early payment. Implementing this will reduce the premium by **EUR 15,000** to **EUR 285,000**.
    - **Incipient Loss**: We recommend consolidating this coverage with our property damage policy to streamline administration and potentially reduce costs by **EUR 20,000**, setting the new premium at **EUR 80,000**.

Projected Savings

Implementing the above recommendations will result in quarterly savings of **EUR 100,000**, reducing our total insurance premiums to **EUR 1,150,000** for Q2 2024. Annually, this translates to savings of **EUR 400,000**.

Next Steps

- **Action By**: July 15, 2024
- **Responsible Party**: Finance Team Lead, **Clara Mertens**
- **Tasks**:
  1. Contact EuroShield Insurance to negotiate comprehensive coverage.
  2. Obtain formal quotes from Guardian Risk Solutions.
  3. Coordinate with SecureStore Insurers for early payment discount.

4. Consolidate incipient loss coverage with property damage policy.

We expect these measures to enhance our financial efficiency while maintaining robust insurance coverage.